“Describe the relationship between finance and accounting.”

Finance and accounting are so intertwined that it’s difficult to find a precise description of their relationship that includes differences. Finance is the abstract, overarching study of money and the costs associated with making it. Accounting is the palpable mathematical recording on which the ideas are based, which can be reliably predicted and carefully planned for.

I describe accounting as the backbone because, for any sound financial decision, there are numbers to crunch. On a lower level, people figure out their budgets by finding their own operational costs. Income, rent, and the inventory (food, medicines, gas, etc) required to keep someone going are all factors to be considered. There’s nothing stopping someone from cutting corners and taking guesses, though. Some people are comfortable enough to have faith that things will just work out! I won’t judge; you’re accountable for yourself.

On a larger scale, corporations have to plan their finances the same way everyone else does. The difference, though, is that they can’t afford to take guesses. Companies have investors as a source of capital, and to keep things safe and fair for those investors, there are legal standards. As a company with shareholders, you aren’t just accounting to get a grasp of your own finances anymore. You’re making decisions that affect the financial well-being of everyone invested.

In America, financial statements are required quarterly and annually, respectively referred to as a 10-Q and a 10-K. These statements are a summary of the accounting process, detailing the business's assets, liabilities, equity, revenue, and expenses. They're taken so seriously that our public companies are required by law to hire independent auditors to ensure they follow the GAAP (Generally Accepted Accounting Principles), and those who fail to comply face devastating consequences.

The requirements of these statements and the consequences of failing to meet them clearly demonstrate the importance of proper accounting. To make a financial decision as a responsible business with shareholders, a trained professional looks at data. Using this data, they find things like the market-to-book ratio, which divides the market value by the equity the report lists, and helps assess the risk associated with investing. There are many similar methods to assess an investment, and all of them make use of annual and quarterly financial reports. To have enough trust in those reports to make impactful decisions, proper accounting is a must-have.

Finances, without accounting, would be a ghost-like force, knocking cups over and leaving those trying to explain the spill scratching their heads. Necessary expenses would turn into unexplained losses, coupled with shrugs and prayers for improvement. Accounting defines and explains these expenses, as well as the gains, and adds structured thought to financial planning. In the chaotic, often paralyzing abyss we call finance, accounting is the guiding, stabilizing light.

Sources:

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